LONDON BOROUGH OF EALING



Decision Maker: Cabinet

Date: 11 February 2026

Subject: Budget and Medium-Term Financial Strategy 2026/27 to 2029/30

Report of: Councillor Steve Donnelly, Cabinet Member for Inclusive Economy

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SUMMARY

The Budget and Medium-Term Financial Strategy (MTFS) forms part of a wider framework of strategies that guide how the council delivers its statutory duties, achieves the priorities set out in the Council Plan, and maintains long term financial resilience. The Medium-Term Financial Strategy explains how the council intends to allocate its resources over the next four years to support these activities within the funding it expects to receive.

This report outlines how the council's 2026/27 Budget and MTFS will enable progress toward its vision, despite rising demand for, and cost of, its services.

The council is committed to strengthening community resilience and empowering local communities. The Council Plan sets out a strong ambition to adopt a community centred model, supporting families, neighbours, and wider communities to connect with one another and build the kinds of formal and informal support networks that have historically held communities together. Residents want to live in vibrant, connected places with a strong sense of pride and identity, and the council aims to use its resources to nurture community assets and the social connections that make this possible.

RECOMMENDATIONS

That Cabinet:

Revenue Budget

1. Approves total General Fund savings of £20.5m over the MTFS period 2026/27 to 2029/30, of which £11.9m is to be delivered from the General Fund in 2026/27 (Appendix 2).

2. Following full Council approval of each proposal, authorises the Strategic Director with responsibility for each proposal (including fees and charges) to:
    a) carry out all necessary steps to implement each proposal, including any necessary consultation.
    b) consider any consultation outcomes and other implications.
    c) complete and consider the implications of any equalities analysis assessment required.
    d) following the above:
        i) determine whether to amend any proposal
        ii) determine whether a further report needs to be considered by the relevant decision maker before implementation
        iii) where a decision is taken not to proceed, bring forward alternative proposal(s).

3. Approves £30.4m of revenue growth for pressures and investments in 2026/27 which will be included in departmental control totals used for service budget setting.

4. Notes the budget proposals are presented in advance of the publication of the Final Local Government Finance Settlement, and delegates any amendments to the budget proposals as a result of changes in the final settlement to the Strategic Director, Resources in consultation with the Leader and the Cabinet Member for Inclusive Economy.

Fees and Charges

5. Approves the schedule of fees and charges for 2026/27 (Appendix 3).

Business Rates Discount

6. Approves the continued discount in National Non-Domestic Rates (NNDR) of two times the cost of accreditation to the first 100 businesses in the borough which are, or become, accredited with the Living Wage Foundation, and who meet the criteria as set out in the February 2016 Cabinet report: Discretionary Discount Scheme for Businesses accredited to Living Wage Foundation, and extend the offer to new applicants for 2026/27.

7. Authorises the Strategic Director, Resources to make determinations in relation to applications for such NNDR discounts, in accordance with the council's adopted criteria.

Schools Budget

8. Approves the Dedicated Schools Grant (DSG) School Funding Formula for 2026/27, and authorises the Strategic Director, Resources, in consultation with the Portfolio Holder for a Fairer Start, to take any actions necessary to fulfil requirements of Dedicated Schools Grant (DSG) budgets.

9. Approves the Dedicated Schools Grant (DSG) Early Years Funding Formula and rates for 2026/27.

Consultation

10. Notes the tabled or verbal feedback on the budget proposals from the:
    a) Ealing Business Partnership meeting held on 4 February 2026
    b) Overview and Scrutiny meeting held on 10 February 2026.

11. Recommends that Full Council:

1. Revenue Budget 2026/27 and Medium-Term Financial Strategy 2026/27 to 2029/30

a) Considers and approves the Revenue Budget for 2026/27 as summarised in Appendix 1.

b) Considers the advice of the Strategic Director, Resources on the levels of reserves and robustness of estimates in setting the budget as required by Section 25 of the Local Government Act 2003.

c) Approves the Parking Account for 2026/27.

d) Approves the draft Schools budget of £482.683m and agrees that any changes as a result of the final 2026/27 DSG settlement are delegated to the Strategic Director, Children's Services in consultation with the Strategic Director, Resources.

2. Capital Programme 2026/27 – 2029/30

a) Approves the General Fund capital programme additions totalling £78.425m (Appendix 6).

b) Approves the updated Capital Programme (Appendix 7).

3. Capital Strategy, Treasury Management and Pension Fund

a) Approves the Capital Strategy (Appendix 8).

b) Approves the Treasury Management Strategy including the associated Prudential Indicators and Annual Investment Strategy (Appendix 9).

c) Approves the Treasury Management Policy Statement (Appendix 9).

d) Approves the Minimum Revenue Provision (MRP) policy (Appendix 9).

4. Council Tax and Business Rates

a) Approves the officer recommendation of an increase of 2.99% for core Council Tax to £1,373.43, and a 2.0% increase in the social care levy to

£254.59 for a Band D property.

b) Notes the proposed Greater London Authority (GLA) Band D precept of £510.51 for 2026/27.

c) Approves the continuation of premiums on top of the standard council tax for properties which have been empty for more than one year for the financial year commencing 1 April 2026.

d) Approves the continuation of charging a premium on top of the standard council tax for properties which are not occupied as a household's sole or main residence (second homes) for the financial year commencing 1 April 2026.

e) Approves the continuation of the Local Council Tax Reduction Scheme for the financial year 2026/27 as approved by Cabinet on 7 December 2022 (Appendix 4).

f) Approves the extension of the Real Living Wage Business Rates Discretionary Discount scheme for an additional year from 1 April 2026 to 31 March 2027.

Wards Affected: All

Strategic Objective	Summary of how this report aligns to the Ealing Council Plan 2022 - 2026 and Ealing's strategic objectives
Creating Good Jobs	The council's MTFS, budgets and capital programme are designed to enable the delivery of the council's key priorities including creating good jobs. The budget for 2026/27 is supporting delivery of national and local priorities. The budget includes growth to fund the council's ongoing investment to the Real Living Wage, and business rate incentives to promote local businesses in their accreditation. The budget includes investment in the council's Economic Growth, Employment Skills service which promotes good jobs.
Tackling the Climate Crisis	The council's MTFS, budgets and capital programme are designed to enable the delivery of the council's key priorities including tackling the climate crisis. The budget and capital programme for 2026/27 is supporting delivery of national and local priorities. The revenue budget proposals include savings generated through the further roll-out of LED streetlighting. The capital programme includes projects to improve energy efficiency in responding to the climate crisis.
Fighting Inequality	The council's MTFS, budgets and capital programme are designed to enable the delivery of the Council's key priorities including fighting inequality. The budget for 2026/27 is supporting delivery of national and local priorities. The council directs a significant proportion of its budget to its more vulnerable residents through adult's and children's social care, and by providing services and accommodation to homeless residents.

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Approach to Budget and Medium-Term Financial Strategy

1. The council's Budget and Medium-Term Financial Strategy (MTFS) supports the Council Plan and the key priorities of the council over the MTFS period.

2. The budget process is priority-led, aligning the allocation of resources with council priorities and ensuring the council can meet its statutory duties. The Council Plan includes three key priorities supported by nine priority outcomes covering the MTFS period:

    - Creating good jobs
    - Tackling the climate crisis
    - Fighting inequality.

3. The aim of the MTFS is to ensure a stable and sustainable financial position that will allow the council to achieve its vision and strategic objectives. It reflects the impact of government funding decisions and the wider national and local economic context. It provides a robust financial framework to support the achievement of the council's overall objectives and delivery of services to its residents.

4. The MTFS is developed based upon the following principles:

    - Robust budget setting, taking account of known pressures and current expenditure levels, prepared in consultation with Strategic Directors.
    - Regular monitoring of budgets and robust management and mitigating actions to address unplanned variances that arise in-year, reporting to the Strategic Leadership Team (SLT) and Cabinet.
    - Appropriate levels of income with effective debt management and monitoring to ensure prompt collection.
    - Prudent assessment of future resources and cost pressures.
    - Plans are put in place for all savings proposals and delivery is monitored.
    - Maximisation of external grant funding to meet priorities.
    - Prudent assessment of provisions required to mitigate future liabilities.
    - Risk assessed level of reserves and balances to mitigate potential financial liabilities, meet commitments and enable investment in transformation and change to deliver future savings and manage risk.
    - Prudent and planned use of reserves to fund one-off expenditure.
    - Effective forecasting and management of the council's cash flow requirements, and effective management of treasury management risks and opportunities.
    - Integration of revenue and capital decisions, to ensure that the revenue implications of capital projects are reflected in the MTFS.
    - Prudent and proportionate use of borrowing for capital investment that is not funded by capital receipts or contributions from third parties.

5. The 2026/27 budget has been set in the context of the government rebuilding the relationship with local government via the Spending Review and Funding

Reform. Over the past year, the government consulted on reforms to the local government funding system, building on the 2025/26 Settlement. The government released three related consultations: Funding Reform Objectives and Principles, Fair Funding Review 2.0 (FFR2.0), and Resetting the Business Rates Retention System. The 2026/27 local government finance settlement is the first year of a three-year settlement to 2028/29. Local authorities continue to face significant demand and market pressures driving above-inflation increases in costs. For a significant number of local authorities these pressures have proved unmanageable within their available resources, with 30 councils requiring exceptional financial support in 2025/26.

6. The approach in setting the budget has been to limit or mitigate growth wherever possible while continuing to provide quality statutory services and to maintain service standards. The nature and the extent of pressures being experienced in demand-led services has meant, however, that significant growth has been included in the budget to meet these pressures and reflect current and expected expenditure in these areas. This has been mitigated wherever possible through the following actions:

    - Robust identification of pressures, prepared in consultation with Strategic Directors.
    - Review of fees and charges, ensuring income is maximised through charges to, and income from residents and third parties benefiting from the services, ensuring that costs are covered.
    - Mitigation and management measures, such as detailed reviews of placements and other demand and market management.
    - Review of corporate budgets, including treasury management.
    - Directorate and service-led transformation and savings proposals over the MTFS period.

7. In addition, the administration has chosen to invest in a number of universal services to residents which have historically been squeezed in response to funding reductions. These include investments in community safety, streets, playgrounds and leisure facilities for young people.

National context - UK Finances

8. The UK government's fiscal rules that took effect in 2025 are designed to restore economic stability and support sustainable growth. They form a central component of the government's strategy to ensure the sustainable management of public finances, while supporting long-term economic growth. By prioritising capital investment over day-to-day spending, the framework is designed to strengthen economic resilience, improve productivity, and secure better outcomes for public services. This approach aims to create the conditions for sustained recovery, enhance the UK's competitiveness, and support delivery of the government's strategic objectives.

- Enhanced Infrastructure - the fiscal rules enable increased, targeted investment in critical national infrastructure - including transport, energy, and digital networks - to improve productivity and support sustainable economic growth. These investments are essential for addressing long-term capacity constraints and improving regional connectivity.
- Improved Public Services - through investment in healthcare, education, and social services the framework supports improved public service outcomes, enhances the quality of life for citizens and promotes social well-being.
- Innovation and Research - increased funding for research and development to drive innovation and support the development of new technologies and industries. This is central to improving productivity, stimulating high-value job creation, and positioning the UK as a global leader in key sectors.

9. However, ongoing conflicts in eastern Europe and the Middle East contribute to ongoing uncertainty in the global economy and present a challenge for the UK economy. The US has introduced substantial tariffs on imports, which are causing concern among its major trading partners, including the UK.

10. Within this global context, the UK economy has remained slow-moving with real gross domestic product (GDP) estimated to have grown by 0.1% in the three months to November 2025 compared with the three months to August 2025.[1]

11. The UK labour market continues to weaken. Unemployment has risen to 5.1%, based on September to November 2025 data, with job vacancies standing at just over 734,000 in December 2025. However, the annual growth in employees' average earnings was 4.5% in September to November 2025, which is a real increase of 0.9%.

12. UK Public sector net borrowing was £11.6 billion in December 2025, a 38% reduction (£7.1 billion) compared to December 2024 and the 10th highest December borrowing since records began in 1993. This has led to total public sector debt of £140.4 billion (95.5% of GDP), broadly similar to the previous year.[2]

13. Inflation, measured by the consumer price index (CPI), rose to 3.8% in September 2025, although it has since decreased to 3.4% in December 2025. This is above the Bank of England's target of 2%. The September figure is key for local government as this is the rate at which some government funding streams are inflated.[3]

14. Interest rates fell from 5.25% in 2023 to 4.75% by November 2024, and to 3.75% by December 2025. The Bank of England has indicated that further

[1] Office for National Statistics, GDP monthly estimate, UK: January 2026, 20 January 2026

[2] Office for National Statistics, GDP monthly estimate, UK: January 2026, 20 January 2026

[3] Office for National Statistics, Consumer price inflation, UK: December 2025, 21 January 2026

gradual reductions are possible, dependent on continued declines in inflation and wage growth.

National context - Local Government Finances

15. Local government has faced well over a decade of reduced funding and rising demand for council services. As local authorities faced growing demands and reduced funding over the last decade, concerns about their financial sustainability have risen. The number of councils seeking exceptional support from central government has surged from three in 2019/20 to 30 in 2025/26.

16. As set out to the Overview and Scrutiny Committee on 6 November 2025, the Fair Funding Review (FFR) 2.0 represents a significant shift towards a more equitable and transparent funding system for local authorities in England. FFR 2.0 aims to create a fairer, evidence-based system that directs resources to areas with higher deprivation and need.

17. The Key Objectives of FFR 2.0 are:

- Equitable Funding Distribution: funding will be directed toward areas with higher deprivation and need, correcting imbalances created by previous systems that disadvantaged less affluent authorities.
- Multi-Year Settlements: the government will introduce multi-year Local Government Finance Settlements for the first time in a decade, providing greater stability and predictability.
- Simplified Funding Formulas: the review reduces the number of needs assessment formulas from 15 to nine, making the allocation process clearer and more responsive to local circumstances.
- Addressing Historical Inequities: the new approach aims to fix long standing reliance on council tax and business rates, ensuring funding better reflects real service demands and local economic conditions.

National context - Local Government Finance Settlement

18. Following consultation on FFR 2.0 and the Local Government Policy Statement on 20 November 2025 which set out how FFR 2.0 would be delivered, the 2026/27 Provisional Local Government Finance Settlement (PLGFS) was announced by the Secretary of State on 17 December 2025, and at the time of writing, the Final Settlement is awaited. The government published the first multi-year Local Government Finance Settlement in a decade. The main headlines are:

- Fair Funding Assessment (FFA): the PLGFS reallocates 2025/26 funding into the Baseline Funding Level (BFL) and Revenue Support Grant (RSG), with increases applied through indexing. The FFA also incorporates funding for new responsibilities under the Simpler Recycling initiative.

- Business Rates Reset and Reform: the division of funding into BFL and RSG reflects changes from the business rates revaluation, reset, and new multipliers. Although the reform does not alter overall redistribution, faster national growth in BFL compared with RSG may increase funding for councils, alongside increased collection risk.
- Council Tax: For 2026/27, referendum limits remain at 2.99% plus 2% for social care authorities, with higher thresholds for shire districts, fire authorities, police authorities, and the GLA. Six councils will face no referendum limits in 2027/28 and 2028/29, enabling unrestricted council tax increases. These councils are: City of London, Hammersmith and Fulham, Kensington and Chelsea, Wandsworth, Westminster and Windsor and Maidenhead.
- Adult Social Care Funding: Adult social care allocations are redistributed through the FFA, with the Local Authority Better Care Grant (LABCG) issued as a section 31 grant. Additional funding of £150m in 2026/27, rising to £500m in 2028/29, will be added to RSG using a new relative needs formula that excludes council tax considerations. The Department of Health and Social Care will publish indicative amounts to guide expected expenditure.
- Funding Floor and Transitional Costs: transitional protection totals £146.9m in 2026/27, increasing to £567.5m by 2028/29, indicating that full transition to the new funding model will not be achieved within the initial three-year settlement period. Local Government Reorganisation may reduce this requirement from 2029/30.
- Recovery Grant: the 2025/26 Recovery Grant will continue, with some authorities receiving increases designed to raise Core Spending Power (CSP) by 5%, 6%, and 7% over the three years, capped at £35m per authority.

19. The broad policy approach set out in the provisional settlement reflects:

- Greater share of resources towards councils with higher levels of deprivation and a lower ability to raise council tax locally.
- Implementing FFR 2.0 for 2026/27 which includes updated Relative Needs Formulae with refreshed population, deprivation and service specific indicators.
- Consolidation and simplification of grants, including the rolling-in of multiple Children's Services grants into a single Children, Families and Youth Grant, and the transfer of certain business rates related grants into Revenue Support Grant (RSG) as part of the 2026 rates reset.
- Additional funding for priority services, namely Adult Social Care, Children's Social Care and for homelessness.
- An assumed increase in council tax up to a 2.99% threshold, and a further 2% social care levy.

- Major business rates reforms including revaluations in 2026 to introduce updated rateable values, a reset of accumulated growth and revised safety net arrangements.
- Transitional protection and funding stability to smooth distributional impacts and adjusted minimum funding guarantee levels.

20. Under the provisional settlement nationally, CSP, the government's method of assessing funding available to local authorities, increased by 5.7%. In London, it increased by 5.8%, and 10.0% for Ealing. Table 1 provides a summary of the changes for England.

Table 1: England Local Government Core Spending Power 2025/26 and 2026/27

Core Spending Power	**2025/26**	**2026/27**	**Change**	
	£m	**£m**	**£m**	**%**
Fair Funding Allocation	0.0	33,927.9	33,927.9	100.0%
of which: Baseline Funding Level	*0.0*	*16,240.2*	*16,240.2*	*100.0%*
of which: Revenue Support Grant	*0.0*	*15,047.9*	*15,047.9*	*100.0%*
of which: Local Authority Better Care Grant	*0.0*	*2,639.8*	*2,639.8*	*100.0%*
Legacy Funding Assessment	32,441.9	0.0	(32,441.9)	(100.0%)
of which: Legacy Business Rates	*18,769.5*	*0.0*	*(18,769.5)*	*(100.0%)*
of which: Legacy Grant Funding	*11,032.6*	*0.0*	*(11,032.6)*	*(100.0%)*
of which: Local Authority Better Care Grant	*2,639.8*	*0.0*	*(2,639.8)*	*(100.0%)*
Council tax requirement	38,655.6	41,208.0	2,552.3	6.6%
Homelessness, Rough Sleeping and Domestic Abuse	725.1	794.3	69.2	9.5%
Families First Partnership	523.1	853.1	330.0	63.1%
Total Transitional Protections	0.0	146.9	146.9	100.0%
of which: 95% income protection	*0.0*	*103.9*	*103.9*	*100.0%*
of which: 100% income protection	*0.0*	*40.5*	*40.5*	*100.0%*
of which: Fire and Rescue Real-terms floor	*0.0*	*2.5*	*2.5*	*100.0%*
Grants rolled in to Revenue Support Grant	543.1	0.0	(543.1)	(100.0%)
Recovery Grant	600.0	600.0	0.0	(0.0%)
Recovery Grant Guarantee	0.0	148.8	148.8	100.0%
Mayoral Capacity Fund	33.5	33.0	(0.5)	(1.5%)
Core Spending Power Total	**73,522.3**	**77,712.0**	**4,189.7**	**5.7%**

21. The national CSP is projected to increase by 5.7% in 2026/27 and by 15.7% by 2028/29. However, 80% of this growth stems from baseline funding level indexing and council tax projections, with actual grant increases amounting to approximately £2 billion by 2028/29 compared to 2025/26. Adjustments have been made to the 2025/26 baseline CSP to reflect updated council tax income and funding simplification.

22. A local authority's **Fair Funding Allocation** (FFA) is determined through a complex, formula-based assessment of relative need and local resources. In

simplified terms, the methodology calculates funding based on assessed need and then deducts an amount reflecting the authority's capacity to raise resources locally. This process underpins how the government equalises funding distribution through the FFA, which serves as the core mechanism for allocating grants and business rates.

23. The FFA is split into **Business Rates retention** through the Baseline Funding Level (BFL) and **Revenue Support Grant** (RSG). The 2026/27 business rate scheme contains significant changes including:

- A full reset aligning NNDR baselines with expected 2026/27 collections.
- Transition from net to gross rates system.
- Introduction of new multipliers for Retail, Hospitality & Leisure sectors funded by a High-Value Multiplier.
- Revised levy and safety net arrangements with a 100% safety net in 2026/27, decreasing to 97% and 92.5% in subsequent years depending on business rates pooling pilot status.
- Adjustments for appeals and bad debts factored nationally.

24. For **council tax**, the government has mostly kept to the referendum limits from previous years. Social care authorities are allowed an increase of 2.99% plus a social care precept of up to 2% without a referendum, and this is assumed in calculating CSP.

25. Where a council is deemed by government to be in need of exceptional financial support, and additional council tax increases are critical to maintaining their financial sustainability, the government will consider requests for bespoke referendum principles. These local proposals will be considered on a case-by-case basis. Six councils will face no referendum limits in 2027/28 and 2028/29, enabling unrestricted council tax increases. These councils are City of London, Hammersmith and Fulham, Kensington and Chelsea, Wandsworth, Westminster and Windsor and Maidenhead.

26. **Consolidated Grants in CSP:** in the PLGFS, several grants have been reorganised and incorporated into CSP:

- **Homelessness, Rough Sleeping and Domestic Abuse Grant**, although not new funding this combines several existing grants into a single ringfenced grant with bespoke distribution for each element:
    - Domestic Abuse Safe Accommodation
    - Part of Homelessness Prevention Grant
    - Rough Sleeping Prevention and Recovery Grant
    - Rough Sleeping Accommodation Programme
- **Children, Families and Youth Grant** combines several grants:
    - Children's Social Care Prevention Grant

- Supporting Families element of the Children Families Grant

CSP and grant funding for Ealing

27. The CSP for Ealing is summarised in the table below. It is not directly comparable to prior year CSP grant funding due to consolidation and simplification of grants with some existing service grants now being incorporated into CSP. The table below seeks to compare funding streams on a like for like basis:

Table 2 – Ealing CSP 2025/26 and 2026/27

CSP Grant Funding	2025/26	2026/27	Change	
	£m	£m	£m	%
Fair Funding Allocation – Retained Business Rates	105.983	117.118	11.136	10.5
Fair Funding Allocation – RSG & LA Better Care Grant	82.351	100.991	18.640	27.9
Council Tax Requirement*	192.984	205.725	12.741	6.6
Grants rolled into RSG	6.977	-	(6.977)	(100)
Recovery Grant	1.098	1.098	-	-
Homelessness, Rough Sleeping and Domestic Abuse	8.371	9.041	0.670	8.0
Families First Partnership	3.293	7.199	3.906	118.2
Total	**401.057**	**441.172**	**40.115**	**10.0**

** the government calculation of CSP includes an expectation that councils apply the maximum increase to council tax and include assumptions of council tax base growth which are not reflected in the council's current council tax base – applying the maximum increase to the actual council tax base for 2026/27 is £204.508m.*

28. The Final Local Government Finance Settlement will confirm the allocation and detail of the following grants. The aim of the new package of funding under the heading of 'simplification' is to give local authorities more certainty of their income. Authorities will receive fewer grants, each of a larger value, and have more flexibility around how they are spent with a view that these will reduce administrative burdens and support the delivery of key outcomes that meet local needs.

29. The grant funding within the PLGFS for Ealing is outlined below and summarised in Table 3.

Table 3 – PLGFS Grant Funding 2025/26 and 2026/27

PLGFS Grant Funding	2025/26	2026/27	Change	
	£m	£m	£m	%
Revenue Support Grant (RSG) & LA Better Care Grant	82.351	100.991	18.640	22.6%
Grants rolled into RSG	6.977	-	(6.977)	(100%)
Recovery Fund	1.098	1.098	0.000	0.0%
Homelessness, Rough Sleeping & Domestic Abuse	8.371	9.042	0.671	8.0%
Children, Families & Youth Grant (includes Families First Partnership)	4.765	8.711	3.946	82.8%
Crisis and Resilience Fund	6.145	7.283	1.138	18.5%
Consolidated Public Health Grant	34.554	35.062	0.508	1.5%
Total	**144.261**	**162.187**	**17.926**	**12.4%**

30. The **Revenue Support Grant (RSG)** funds revenue expenditure on any service. As part of FFR 2.0, 18 funding streams were consolidated into RSG and the 2025/26 RSG was rebased including the new funding streams. As a result of these changes, RSG has increased by £11.663m to £100.991m.

31. The consolidation of the funding streams will be delivered in the following three ways:

- Consolidating two funding streams that are new to the settlement but keeping the existing distributions.
  - Social Care in Prisons
  - War Pensions Disregard
- Consolidating nine new settlement funding streams into the 2025/26 legacy funding shares, which will be gradually phased into the 2028/29 fair funding shares:
  - Temporary accommodation funding, previously part of the Homelessness Prevention Grant
  - Virtual School Head for Children with a Social Worker and Children in Kinship Care
  - Biodiversity Net Gain Planning Requirement
  - Deprivation of Liberty Safeguards Funding
  - Local Government Finance Data Review
  - Enforcement of Location Restriction and Volume New Burdens grant
  - Enforcement of Calorie Labelling Regulations New Burdens grant

- Awaab's Law New Burdens
- Social Housing New Burden grant.

- Consolidating seven existing funding streams within the settlement into the 2025/26 legacy funding shares, which will be gradually phased into the 2028/29 fair funding shares.
  - Social Care Grant
  - Local Authority Better Care Grant
  - Historic business rates grant compensation for under-indexation of tax rates; Green Plant and Machinery exemptions; and Small Business Rates Relief lost supplementary income
  - Market Sustainability and Improvement Fund
  - Employer National Insurance Contributions
  - New Homes Bonus
  - 2025/26 Funding Floor.
- **Crisis and Resilience Fund**, this brings together the Household Support Fund and Discretionary Housing payments funding into one new streamlined fund. This will help local authorities provide preventative community support and assist people facing financial crisis.
- **Public Health Grant** will consolidate existing funding streams using the same distribution method as previous years including:
  - Drug and Alcohol Treatment and Recovery Improvement Grant (DATRIG)
  - Local Stop Smoking Services and Support Grant
  - Individual Placement and Support Grant

Business Rates

32. The reset of the Business Rates Retention System (BRRS) from 1 April 2026 is a key component of the government's FFR 2.0 reforms, aimed at better aligning funding with local needs while still incentivising business rate growth. As part of the reset, all local authorities will receive updated Business Rates Baselines (BRBs), Baseline Funding Levels (BFLs), and revised top-ups or tariffs.

33. Current business rates income will be incorporated into transitional measures, ensuring that authorities' existing income levels are protected while the system moves toward the updated allocations under FFR 2.0.

34. From 1 April 2026, all funded business rates reliefs within the main BRRS will be directly compensated by central government through section 31 grants. These S31 grants will be paid to local collection funds. This change is intended to streamline financial processes and ensure that authorities receive

full and transparent compensation for government-funded reliefs. There are two new lower multipliers for Retail, Hospitality & Leisure (RHL), to be funded by a new High-Value Multiplier (HVM).

35. The BRRS allows the council to retain 30% of collected business rates. The remaining 70% is split between the Ministry of Housing, Communities and Local Government (33%) and the GLA (37%). The council estimates that it will receive £70.883m from a forecasted collected total of £236.277m for 2026/27. This is an increase from 2025/26 resulting from the removal of several reliefs, which will be reflected in reduced S31 compensation grants.

36. The BRRS provides for adjustments to be made to local authorities where the government assesses a local authority's Business Rates Baseline to be less than its Baseline Funding level through the payment of a Top-up grant. The provisional settlement assessed the council baseline as £117.118m. For Ealing, the Top-up Grant for 2026/27 is £45.997m. The government therefore assumed the council would collect £71.121m, which is more than the current estimate.

37. The government is increasing its Safety Net mechanism to protect 100% of Baseline Funding Level for 2026/27 to provide certainty and assurance when budgeting business rates income against the backdrop of major business rates reforms. The Safety Net threshold will gradually revert to 92.5% for most authorities over the settlement period. Therefore, based on current estimates the council will expect to receive a safety net payment of £0.238m in 2026/27. This safety net payment will ensure the council received the government assumed business rates baseline in 2026/27, although there will be risks to the baseline income in future years should the council's business rates base reduce.

Table 4: Retained Business Rates

Retained Business Rates Share	**2025/26**		**2026/27**	
	%	**£m**	**%**	**£m**
Ealing Council's Share	30%	54.955	30%	70.883
GLA Share	37%	67.778	37%	87.423
Total Retained	**67%**	**122.733**	**67%**	**158.306**
Central Government Share	33%	60.450	33%	77.971
Total	**100%**	**183.183**	**100%**	**236.277**
Business rates funding				
Estimated share of business rates				70.883
Top-up grant				45.997
Subtotal				**116.880**
Business rates baseline				117.118

Retained Business Rates Share	2025/26		2026/27	
	%	£m	%	£m
Safety net payment (100%)				**0.238**
Total business rates income				**117.118**

Real Living Wage Business Rates Discretionary Discount

38. Since 2016, the council has operated a Real Living Wage Business Rates Discretionary Discount scheme which encourages employers to pay their employees a minimum of the Real Living Wage. This scheme gives employers who pay business rates in the borough the opportunity to apply for a rating discount equal to two times the Living Wage Foundation accreditation set-up fee upon accreditation, or renewal. The scheme is limited to the first 100 employers to apply and has been extended each year.

39. Approval is requested to extend the scheme for an additional year from 1 April 2026 to 31 March 2027. This extension will only include new applications for the discount; ratepayers already receiving the discount are not eligible to apply again. All other scheme rules will remain unchanged.

Council Tax

40. The council tax base is the number of properties in Bands A-H, expressed as Band D units. On 27 January 2026, the Strategic Director, Resources calculated the amount to be 125,617.9 for 2026/27 at a collection rate of 98%, after adjusting for the Council Tax Reduction Scheme of 16,634.5 band D units.

41. On 15 January 2025, the Mayor of London proposed a £20.13 increase in the GLA council tax precept for band D taxpayers, raising it from £490.38 in 2025/26 to £510.51 in 2026/27, a 4.1% rise. This increase includes £15 for MOPAC (the Metropolitan Police) and £5.13 for the London Fire Brigade, aligning with the maximum permitted under the referendum limit.

42. At the time of writing, the GLA's final draft budget is scheduled to be considered by the London Assembly on 26 February 2026. Should the Assembly agree a precept other than the amount set out in this report, then a revised Council Tax Resolution will be tabled at the Full Council meeting on 3 March 2026.

43. The amount of GLA precept per council tax band is set out in Table below.

Table 5: GLA Proposed 2026/27 Council Tax Precept by Band

Valuation Band	A	B	C	D	E	F	G	H
GLA Precept	£340.34	£397.06	£453.79	£510.51	£623.96	£737.40	£850.85	£1,021.02

44. In the Provisional Local Government Finance Settlement, the government has

established that the maximum allowable increase in council tax for upper-tier authorities with social care responsibilities, without being considered excessive, is 4.99%.

45. Council tax levels are determined by members based on professional advice from officers, particularly the Strategic Director, Resources. This includes considerations on the robustness of the budget and the adequacy of reserves and balances.

46. A 1% increase in Council Tax generates approximately £1.95m in additional income for the council. The table below illustrates the weekly and annual impact of each percentage rise on the Band D value of Ealing's element of the council tax.

Table 6: Council Tax Scenarios

Council Tax Increase (including Social Care Precept)	Ealing Band D Council Tax	Weekly Band D Increase Impact	Annual Band D Increase Impact
	£	£	£
0.00%	1,550.64	0.00	0.00
1.00%	1,566.15	0.30	15.51
2.00%	1,581.65	0.60	31.01
3.00%	1,597.16	0.89	46.52
4.00%	1,612.66	1.19	62.03
4.99%	1,628.02	1.49	77.38

47. The council acknowledges the impact of the cost-of-living crisis on its residents and endeavours to balance decisions regarding council tax increases with the necessity to fund increasing demand for and cost of social care and temporary accommodation. To ensure financial sustainability in the medium to long term, the council's Strategic Director, Resources recommends a 2.99% increase in core council tax and 2.0% for the social care levy. Table 7 provides an indicative analysis of council tax, broken down by Ealing's core council tax, social care levy and GLA components.

Table 7: Council Tax bands 2026/27

2026/27 Council Tax								
Valuation Band	**A**	**B**	**C**	**D**	**E**	**F**	**G**	**H**
Core Council Tax	£915.62	£1,068.22	£1,220.83	£1,373.43	£1,678.64	£1,983.84	£2,289.05	£2,746.86
Social Care Precept	£169.73	£198.01	£226.30	£254.59	£311.17	£367.74	£424.32	£509.18
Total Ealing Council Tax	**£1,085.35**	**£1,266.23**	**£1,447.13**	**£1,628.02**	**£1,989.81**	**£2,351.58**	**£2,713.37**	**£3,256.04**
GLA Precept	£340.34	£397.06	£453.79	£510.51	£623.96	£737.40	£850.85	£1,021.02
Total Council Tax	**£1,425.69**	**£1,663.29**	**£1,900.92**	**£2,138.53**	**£2,613.77**	**£3,088.98**	**£3,564.22**	**£4,277.06**

48. Applying the Band D Ealing Council tax rate of £1,628.02 to the Band D

equivalent properties (taxbase) of 125,617.9 produces a yield of **£204,508,470**.

Council Tax Empty Property Premium

49. From April 2013, the government introduced legislation allowing authorities to charge a premium on top of the normal council tax for dwellings that have been empty and substantially unfurnished for at least two years (excluding those exempted from paying such as those under probate, or where occupation is prohibited by law). This allowed the council to introduce a premium of 50% to be added to the council tax bill. The drive behind this was to reduce the number of properties left empty for long periods of time and bring these back into use, particularly given the challenges of housing shortages.

50. In 2018, the government announced the extension of the empty property premium to double the amount of the premium to be levied and allowed authorities to charge a 100% additional amount from 1 April 2019. This charge could be levied on all long-term empty properties that had been empty for more than 2 years. Full Council on 26 February 2019 agreed to charge a 100% premium (increased from 50%) on top of the standard council tax for properties which have been empty for more than 2 years, with effect from 1 April 2019.

51. Further to this change, the government introduced legislation for this premium to be extended to allow authorities to charge a 200% premium from April 2020 for properties empty for over 5 years, and then a 300% premium from April 2021 for properties empty for over 10 years. From April 2020, Full Council decided that in addition to the 100% premium being charged on properties empty for over 2 years, to charge a further 100% (300% in total) for those properties empty for more than 5 years.

52. From 1 April 2021, Full Council further extended this charge in line with legislation with a 300% premium to be charged (400% in total) for all qualifying properties empty for more than 10 years.

53. The government then amended the legislation for empty properties such that the 100% premium (where owners are charged double the normal council tax) for properties empty over 2 years would be chargeable after 1 year only. This would increase pressure on owners of these properties to ensure these homes are brought back into use as soon as possible. This change was introduced from 1 April 2024.

54. Additionally, under this new legislation councils could charge a 100% premium on second homes (where the property is not occupied as someone's sole or main residence but is furnished) from 1 April 2025. The council made this determination on 5 March 2024 which took effect from 1 April 2025.

55. A series of exceptions to these premiums were introduced from 1 April 2025. These are listed in the Council Tax (Prescribed Classes of Dwellings and

Consequential Amendments) (England) Regulations 2024 and are published on the council's website.

Table 8: Exceptions for Empty and Second Home Premiums

Class	Application	Definition
E	Long-term empty homes and second homes	Dwelling which is or would be someone's sole or main residence if they were not residing in job-related armed forces accommodation
F	Long-term empty homes and second homes	Annexes forming part of, or being treated as part of, the main dwelling
G	Long-term empty homes and second homes	Dwellings being actively marketed for sale (12 months limit)
H	Long-term empty homes and second homes	Dwellings being actively marketed for let (12 months limit)
I	Long-term empty homes and second homes	Unoccupied dwellings which fell within exempt Class F and where probate has recently been granted (12 months from grant of probate/letters of administration)
J	Second homes only	Job-related dwellings
K	Second homes only	Occupied caravan pitches and boat moorings.
L	Second homes only	Seasonal homes where year-round, permanent occupation is prohibited, specified for use as holiday accommodation or planning condition preventing occupancy for more than 28 days continuously
M	Long-term empty home only	Empty dwellings requiring or undergoing major repairs or structural alterations (12 months limit)

56. Approval is sought for the following premium charges to be raised for Empty and Second Home properties for the financial year 1 April 2026 to 31 March 2027.

Empty Properties

Table 9: Empty Property Premiums

Empty Duration	Council Tax Charge	Premium	Total Charge
Less than 1 year	Full charge (100%)	Nil	100%
Between 1 & 2 years	Full charge (100%)	100%	200%
Between 2 & 5 years	Full charge (100%)	100%	200%
Between 5 & 10 years	Full charge (100%)	200%	300%
Over 10 years	Full charge (100%)	300%	400%

Second Home Properties

Table 10: Second Home Premiums

Empty Duration	Council Tax Charge	Premium	Total Charge
Second Homes	Full charge (100%)	100%	200%

Council Tax Reduction Scheme

57. Council tax reduction (CTR) caseload is divided into two main categories: pensioners and working age claimants. The pensioner category applies to those who have reached state pension retirement age. This category is protected, and council tax reduction is paid according to the regulations which are prescribed by central government. The Ealing CTR scheme for working age residents is a local scheme and the council is responsible for setting out eligibility criteria for the scheme.

58. The full scheme is presented in Appendix 4. In summary, the scheme operates with four key features.

59. Key Feature 1: is the entitlement to CTR based on income bands and on the net income of the claimant and their partner (if they live with one). The banded scheme provides a maximum 100% reduction for claimants who fall into the protected category, and up to 80% for all other claimants.

60. Under the income banded scheme, the calculation of entitlement to CTR is much simpler than under a means-tested calculation. All state benefits including universal credit are disregarded from the calculation, and claimants receive a discount based upon the level of their net income. The income bands are uprated in line with September CPI on an annual basis. Income bands for 2026/27 have been uprated by 3.8%.

61. Following the uprating, the income bands for 2026/27 have been set as shown in the table below:

Table 11: CTR Scheme Income Bands

Band	Protected income band	Protected contribution	Protected CTR award	Non-protected income band	Non-protected contribution	Non-protected CTR award
1	0.00-154.18	0%	100%	0.00-154.18	20%	80%
2	154.19-179.89	25%	75%	154.19-179.89	40%	60%
3	179.90-205.58	40%	60%	179.90-205.58	50%	50%
4	205.59-231.29	50%	50%	205.59-231.29	60%	40%
5	231.30-256.99	60%	40%	231.30-256.99	70%	30%
6	257.00-282.67	70%	30%	257.00-282.67	80%	20%
7	282.68-308.39	80%	20%	282.68-308.39	90%	10%
8	308.40-334.08	90%	10%	308.40+	100%	0.00%
9	334.09+	100%	0%	-	-	-

62. The claimant's CTR entitlement changes only if the earned income of the household changes sufficiently to move them from one band to another.

63. Key Feature 2: relates to non–dependant deductions. There are only three levels of deductions for non-dependants living with CTR applicants. Non-dependants are other adults living in the property as part of the household who are not liable to pay rent or council tax. The level of deductions set for 2026/27 are as follows:

- £8.35 per week for those not in work
- £15.42 per week for those in work earning below £189.95 per week
- £23.13 for those in work earning above £189.95 per week.

64. These deductions have also been uprated in line with the September 2025 CPI figure of 3.8%. Under the scheme, the non–dependant deductions do not apply if the claimant or partner is in receipt of the care element of disability living allowance/ personal independence payment, or if a non-dependant is a full-time student.

65. Key Feature 3: one universal earning disregard of £38.54 per week (the amount of money ignored from the earned income) is applied for couples and households with children. The disregard is also subject to uprating in line with September CPI.

66. Key Feature 4: no CTR is awarded to an applicant if their entitlement is less than £2 per week, to ensure the efficient use of council time and resources.

CTR caseload

67. The make-up of the CTR caseload over the last 24 months is included in the table below.

Table 12: CTR caseload

Scheme Group	Apr-24	Nov-24	Apr-25	Nov-25
Pensioner	7,972	8,057	8,111	8,194
Working age (protected)	9,762	10,142	10,390	10,886
Working age (non-protected)	5,670	5,485	5,263	4,589
Total	**23,404**	**23,684**	**23,764**	**23,669**

68. Pensioner caseload accounts for over a third (35%) and working age for two-thirds (65%) of the caseload. Whilst the pensioner caseload remains relatively static, there has been a steady increase of working-age CTR recipients falling into the protected category, and a decrease in the number of non-protected households.

69. The caseload rose sharply during the Covid-19 pandemic, however, the service is now observing a slow reduction in CTR cases, especially those of working age who fall into the non-protected category. This may reflect higher levels of employment and/or earnings for the households.

CTR expenditure

70. The cost of the scheme falls into two areas: scheme expenditure and scheme administration. The cost of administration is linked to the costs associated with the processing of housing benefit. These costs are met by grants from MHCLG and DWP.

71. The council also uprates the income bands annually in line with September CPI, which for 2025 was 3.8%. This may result in some customers being

entitled to more CTR from April 2025, however, it is anticipated that increases in the minimum and real living wage will offset the impact of higher income bands.

72. The expenditure in the table below includes the total value of the awards made to CTR recipients.

Table 13: Estimated CTR expenditure

Scheme Group	Estimated expenditure 2025/26 £m	Estimated expenditure 2026/27 £m
Pensioner	13.35	13.35
Working Age	20.61	20.61
Total	**33.96**	**33.96**

73. The expenditure does not take account of any potential council tax increases for 2026/27. A 1% increase in council tax will increase CTR expenditure by around £334,000.

74. The actual CTR expenditure depends on the caseload during any financial year, and any increase or decrease in CTR caseload will impact the CTR expenditure accordingly.

75. The actual level of awards made under CTR cannot be accurately determined as the scheme includes elements which are subject to external forces, including, for example, the number of successful claims. A further downturn in the economy and cost of living crisis would lead to an increase in claims and therefore an increase in the level of financial support.

76. In addition to CTR, the council provides a discretionary council tax discount, which is available to those in most need and unable to meet their council tax liability. The council's budget for the discretionary fund is £235,000. To reflect the cost-of-living pressures being experienced by residents this has been increased by £200,000 to £435,000 in 2026/27.

Collection Fund

77. As a billing authority, Ealing Council collects council tax and non-domestic rates for itself and its preceptors. For council tax, the GLA is a preceptor, and for business rates the council collects these from all eligible businesses in the borough and distributes them to itself, the GLA and government. The government element of business rates is redistributed to local government through the settlement and other grants.

78. Statutory regulations require councils to account for annual council tax and business rates income in a manner different to usual accounting arrangements. Any difference between the budgeted net council tax and business rates income and the actual amounts is held on the council's balance sheet to be distributed in subsequent years.

79. Councils are required to calculate an estimated position of the Collection Fund in January each year, which is used by precepting authorities in setting budgets for the forthcoming year.

80. In calculating the estimated year-end balances the following two elements are included:

a) The 2025/26 budget used an estimate of the Collection Fund surplus or deficit at 31 March 2025 - this is adjusted to reflect the actual surplus or deficit when the financial year is closed.

b) An estimate of the 2025/26 in-year surplus or deficit on council tax and business rates collection.

81. Table 14 below provides the estimated balance on the Collection Fund at 31 March 2026 and the council element. The total is a surplus of £0.504m, and the council's element is £0.911m. The reason for Ealing's share being higher than the total is because its percentage share of the council tax surplus is greater than the share of the business rates deficit. This surplus is paid to the General Fund and is available to fund the 2026/27 budget, although on a one-off basis only.

Table 14: Net Estimated Collection Fund Position at 31 March 2026

	Collection Fund			Ealing Council share		
General Fund Impact for Ealing	**Council Tax**	**Business Rates**	**2025/26 Total**	**Council Tax**	**Business Rates**	**2025/26 Total**
	£m	**£m**	**£m**	**£m**	**£m**	**£m**
Ealing Share				**76.0%**	**30.0%**	
2024/25 outturn	0.740	(3.050)	(2.310)	0.562	(0.915)	(0.353)
2025/26 estimated in-year surplus (-) / deficit (+)	(2.393)	4.200	1.807	(1.818)	1.260	(0.558)
2025/26 Estimated Surplus (-) / Deficit (+) Balance	**(1.653)**	**1.149**	**(0.504)**	**(1.256)**	**0.345**	**(0.911)**

Fees and Charges

82. The council charges for a range of services, with fees approved in accordance with relevant legislation. Decisions may be taken by Cabinet, Cabinet Members, or by Officers under delegated authority.

83. Any significant change must consider the equalities impact on customers, including the cumulative effect of other council fees they may also pay. The policy should also balance the impact on those residents who use services where fees and charges are applied, with the impact on the council taxpayer more generally, who will otherwise pick up the costs and increases to the costs of those services.

84. For 2026/27, the council's approach has been to increase fees in line with inflation where possible, ensuring the costs of service delivery are met or fully

recovered. Commercial fees are reviewed against market rates, while statutory fees follow government set levels. As part of the MTFS and budget process, further detailed reviews will take place during 2026/27 to support continuous assessment of full cost recovery.

85. The proposed fees and charges schedule for 2026/27 is attached as Appendix 3, with a summary of income from fees and charges by each directorate shown in Table 15 below.

Table 15: Fees and Charges by Directorate

Directorate	2025/26 Budget	Increase	2026/27 Budget
	£m	£m	£m
Adults' Services & Public Health	0.002	0.000	0.002
Children's Services	1.482	0.046	1.528
Economy & Sustainability	6.334	0.307	6.641
Housing & Environment	37.116	0.816	37.932
Resources	3.655	0.178	3.833
Strategy & Change	1.878	0.000	1.878
Total	**50.467**	**1.347**	**51.814**

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Inflation

86. Inflation assumptions are based on a range of CPI and RPI forecasts applicable to contracts with index-linked provisions. Although inflation has generally fallen over the past year, there was a slight increase in January 2026. Many council contracts reference inflation indices from a specific month in the previous financial year, meaning applied uplifts may differ from current headline rates.

87. Where inflation is not specifically indexed within contracts (and therefore a contractual obligation), and, given the challenging financial context facing local government and the council, affordability will be the core principle underpinning non-contractual uplifts to suppliers and providers in 2026/27. Consequently, where inflation and other cost increases are not specified in the contract, any requests for increases will be considered on a case-by-case basis with suppliers/ providers expected to demonstrate increased costs, and identify cost savings and efficiencies to mitigate the impact. Commissioners are expected to work with providers to deliver contracted services within the available envelope using best-value commissioning, price benchmarking, and market management approaches while also meeting statutory duties. Notwithstanding this, the council continues its commitment to deliver the Real Living Wage as a contractual requirement in the domiciliary care sector and other contracts, and the impact of those changes are provided for in the budget.

88. Pay inflation has been estimated based upon forecast inflation. Table 16 below summarises the inflation assumed for each year of the MTFS. A full review of utilities was undertaken in preparing the budget to reflect that utilities rates have stabilised since the Covid-19 pandemic.

89. Where expenditure is funded from other funding sources (for example grants and third party contributions), it is expected that any increases in funding are used first to meet inflationary costs.

Table 16: Contract & Pay Inflation by year

Inflation	2026/27	2027/28	2028/29	2029/30
	£m	£m	£m	£m
Contract and utilities	4.999	3.777	3.827	3.900
Pay	6.522	5.045	5.171	5.300
Total	**11.522**	**8.822**	**8.999**	**9.200**

Service pressures

90. Local authorities continue to face significant demand and market pressures, particularly in adults' and children's social care and in the provision of temporary accommodation for homeless households. These challenges are especially pronounced for the council as a London borough.

91. Appendix 2 outlines the pressures expected in the council's services in 2026/27 based on this years' experience as well as expected pressures in the next year. Forecasting future pressures is less precise due to potential external factors, however, estimated pressures for the MTFS period are summarised in Table 17.

Table 17: Budget pressures

Directorate	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
Adult Social Care & Public Health	6,539	4,549	3,649	5,649	20,386
Children's Services	12,796	3,664	1,487	1,520	19,467
Economy & Sustainability	2,711	(1,640)	118	2	1,191
Housing & Environment	5,824	(275)	(2,295)	(976)	2,278
Resources	1,985	435	391	208	3,019
Strategy & Change	584	75	0	0	659
Total	**30,439**	**6,808**	**3,350**	**6,403**	**47,001**

Levies

92. Levies paid to other public bodies constitute over 10% of the council's net budget. Table 18 shows these levies, which are outside the council's control but must be considered when setting the budget and council tax. Final figures are pending notification from the levying bodies.

93. The most significant change in levies arises from the increase in concessionary fares, which have increased by £1.268m in 2026/27. During

the pandemic a decrease in passenger journeys reduced the council's expenditure on concessionary fares. As passenger numbers revert to pre-pandemic levels and inflationary increases are applied to fares, the levy for concessionary fares will incrementally rise.

94. Another notable increase relates to the West London Waste Authority, attributed to heightened volumes and costs of residual waste disposal.

Table 18: Provisional Levies Budget

Authority	2025/26 Budget	2026/27 Indicative Budget	Movement	
	£m	£m	£m	%
Concessionary Fares	15.322	16.590	1.268	8.3
West London Waste Authority	15.899	16.374	0.475	3.0
London Pension Fund Authority	0.410	0.423	0.013	3.2
Coroners Service	0.468	0.482	0.014	3.0
Lee Valley Regional Park Authority	0.328	0.338	0.01	3.0
National Rivers Authority	0.302	0.311	0.009	3.0
Total	**32.729**	**34.518**	**1.789**	**5.5**

Capital Financing

95. The council's capital financing costs are determined by borrowing decisions taken to fund capital expenditure in the past and future, and the investment of cash balances. The latter is determined by the council's Treasury Management Strategy, which is described more fully in Appendix 9.

96. The council funds part of its capital programme through borrowing, incurring external interest charges. Delays in capital expenditure and maturing long-term loans have led to lower expected interest payments in 2026/27. As the capital programme progresses, external interest will rise in the remaining MTFS years. In addition to external interest, local authorities must annually set aside funds to repay borrowing, known as the minimum revenue provision (MRP).

97. Councils can use their revenue budget for capital expenses without borrowing, known as direct revenue financing or revenue contribution to capital outlay. Other capital funding sources include government grants, third-party contributions (such as developer contributions), and capital receipts.

98. The council earns interest on its cash balances. Historically high interest rates experienced in previous years are now reducing, and the council's cash balances are reducing as they are applied to fund planned capital expenditure. As a result, interest receivable reduced in 2025/26 and is anticipated to reduce further in future years. Therefore, this income cannot be considered a reliable

source of funding in the medium-term and will continue to be reviewed as part of the annual budget setting process.

Table 19: Capital Financing costs

	2025/26 £m	2026/27 £m	2027/28 £m	2028/29 £m	2029/30 £m
Capital financing costs	33.776	33.776	32.249	36.148	40.668

Contingency

99. As part of developing the budget proposals it is prudent to allow for a contingency within the base revenue budget. This approach is designed to enable the risks associated with uncertainty and unexpected events to be effectively managed.

100. Based on the significant service pressures faced this year and anticipated for the future, as detailed in this report, the Strategic Director, Resources advises a £5.0m contingency budget (1.5% of net budget) that combines the current year's general contingency with the budget risk contingency budget.

101. The contingency budget is included within Centrally Held Corporate Budgets.

Contributions to Reserves

102. The financial environment for local authorities remains highly challenging, reflected in the increasing number of councils requiring Exceptional Financial Support. With continued pressures from rising demand and escalating costs, it is essential that councils regularly assess their financial resilience and ability to respond to external risks.

103. To support financial stability, councils are advised to maintain sufficient reserves and balances to mitigate unexpected funding losses or cost pressures. In line with the agreed strategy, the base budget includes an annual contribution of £3.5m to strengthen reserves. Although progress continues to be made and balances are in a healthier position overall, the council's reserve levels remain comparatively average among London boroughs. The Strategic Director, Resources considers this approach appropriate given the growing volatility in demand-led services and the trends observed in the 2025/26 quarterly financial monitoring. Strengthening reserves provides protection against funding uncertainty, income losses, and in-year pressures, while ensuring resources are available for future transformation initiatives.

Savings

104. The council continues to face inflation, cost and demand pressures that outpace the growth in government funding and council tax. To maintain a balanced budget, it must identify ways to reduce expenditure or increase

income by improving service efficiency, managing demand, adjusting service levels, and maximising revenue opportunities.

105. After more than a decade of real-terms funding reductions, delivering significant savings has become increasingly difficult without affecting frontline services. Advancing the council's vision to empower residents, strengthen community networks, and promote grassroots-led change through new operating models will be essential to achieving medium to long-term financial sustainability amid ongoing funding constraints and rising demand and costs.

106. Services have identified cash savings to balance the 2026/27 budget. The majority of savings are those which have been agreed in previous years. The council aims to continually improve efficiency and transform service delivery, emphasising community-based services. Appendix 2 provides a comprehensive breakdown of the proposed savings. Table 20 below summarises these savings by directorate.

Table 20: Savings by Directorate

Directorate	2026/27 £000	2027/28 £000	2028/29 £000	2029/30 £000	Total £000
Adult Social Care & Public Health	(3,480)	0	0	0	(3,480)
Children's Services	(6,000)	(4,000)	(2,000)	(1,539)	(13,539)
Economy & Sustainability	(431)	(305)	400	275	(61)
Housing & Environment	(1,346)	(90)	(65)	(15)	(1,516)
Resources	0	0	0	0	0
Strategy & Change	(680)	(1,200)	0	0	(1,880)
Total	**(11,937)**	**(5,595)**	**(1,665)**	**(1,279)**	**(20,476)**

107. In addition to the savings proposed by directorates, the largest saving in 2026/27 is a reduction in pension contributions following the triennial actuarial review of £6.015m. This reduction in contributions reflects the valuation of a pension fund surplus following effective management of pension fund investments.

108. In addition, the council has developed savings proposals relating to a Corporate Programmes of work to review and improve efficiency across workstreams covering workforce, digital and technology, contracts and commissioning and assets. It is expected that these Corporate Programmes will be developed further in 2026/27 to identify further efficiencies and savings and this will be driven by the MTFS Board and subgroups. Efficiency savings of £4.527m have been identified for 2026/27.

Summary of the Revenue Budget

109. The savings outlined in Appendix 2 will balance the budget for 2026/27 based on the estimated funding and pressures identified in this report. The projected budgets for the next three years show a cumulative deficit of £7.893m by 2029/30. This highlights the need for additional funding and reduced service costs, and/ or additional income to achieve a sustainable budget in the medium-term through to 2030.

110. Table 21 below summarises the budgets at the directorate level and how this is proposed to be funded. Appendix 1 provides budgets at service level.

Table 21: Net Budget by Directorate 2025/26 to 2029/30

Directorate Revenue Summary	**2025/26 £000**	**2026/27 £000**	**2027/28 £000**	**2028/29 £000**	**2029/30 £000**
Adult Social Care & Public Health	113,631	119,082	125,914	131,863	139,831
Children's	93,363	103,717	105,210	106,569	108,468
Economy & Sustainability	7,577	10,078	8,571	9,539	10,277
Housing & Environment	31,054	42,671	43,608	42,935	43,588
Resources	42,922	47,697	49,716	51,724	53,590
Strategy & Change	8,622	9,923	10,279	10,567	10,862
Net Service Department Budget	**297,168**	**333,169**	**343,297**	**353,197**	**366,616**
Corporate Budgets	22,808	86,861	107,377	129,448	135,274
Contribution to (+) / from (-) reserves	3,500	3,500	3,500	3,500	3,500
Net Budget Requirement	**323,476**	**423,529**	**454,174**	**486,144**	**505,390**
Funded by					
Revenue Support Grant	(22,236)	(100,991)	(118,731)	(137,046)	(137,046)
Business Rates Retention System	(106,530)	(117,118)	(119,805)	(122,222)	(122,222)
Council Tax Income	(192,984)	(204,508)	(215,638)	(226,876)	(238,228)
Collection Fund	(1,727)	(911)	0	0	0
Total Funding	**(323,476)**	**(423,529)**	**(454,174)**	**(486,144)**	**(497,496)**
Net Budget	**0**	**0**	**0**	**0**	**7,893**

Parking Account

111. The budget also includes contributions from the Parking Account. All charges against the Parking Account are bound by the rules set out in section 95 of the Traffic Management Act 2004 which limits the areas on which a surplus can be spent to include the following:

- Off-street car parks
- Highway maintenance and improvements
- Controlled parking zones
- Meeting the cost of public passenger transport services
- Environmental improvements.

112. The parking contribution to concessionary fares for 2026/27 is £16.590m. A breakdown of the Parking Account for 2026/27 is provided in Appendix 5.

Schools Budget and Dedicated Schools Grant (DSG)

113. As an education authority the council receives DSG and other schools related grants, including:

- Dedicated Schools Grant (DSG)
- Pupil Premium Grant (PPG)
- Universal Infant Schools Meals (UIFSM).

Dedicated Schools Grant (DSG)

114. The DSG is a ring-fenced grant to support schools' budgets which is distributed through the National Funding Formula (NFF), based on the individual needs and characteristics of each school. The DSG is split into the following four blocks:

- Schools Block (SB)
- Early Years Block (EYB)
- High Needs Block (HNB)
- Central School Services Block (CSSB).

115. In December 2025, the government published the council's 2026/27 DSG allocation. This is set out in the table below.

116. With the agreement of the Schools Forum, the council has retained elements of central funding and moved 0.5% from the SB to HNB in 2026/27 (a continuation of funding agreements made in previous years).

Table 22: DSG Allocation

DSG Blocks 2026/27	£m
Schools Block (NFF, premises factors, growth fund (after reduction for domestic rates, before recoupment))	336.855
Central School Services Block (includes funding for historic commitments)	2.550
High Needs Block (after provisional import/export adjustments and deduction for direct funding by DfE)	88.501
Early Years Block Indicative Allocation	54.777
Total DSG	**482.683**

117. Below is a summary of the schools funding with further detail included in the School Funding 2026/27 report considered at the 22 January 2026 Schools Forum meeting at Agenda for Ealing Schools Forum on Thursday, 22 January 2026, 6.00 pm.

Schools Block (SB)

118. In respect of the Schools Block, the Schools Forum agreed:

- Continuation of funding transfer of £1.712m (0.5%) of SB to the HNB
- Growth fund rules and uplifts to rates to reflect the increased age weighted pupil funding rates used in the 2026/27 funding formula.

119. The Schools Forum was also consulted on and supported continuing to set the Minimum Funding Guarantee (MFG) at the minimum permitted -0.5% in 2026/27.

120. The Schools Forum have been consulted on the proposed Local Formula and the adjustments required to the NFF factor rates for affordability. These are set out in Appendix 2 of the 22 January 2026 Schools Forum report.

Early Years Block (EYB)

121. Early years funding is distributed to local authorities through a National Early Years Funding Formula (EYFF).

122. The Early Years Block funds:

- universal and extended provision for 3 and 4-year-old children
- provision for 2-year-old children from families receiving additional support and
- working parent provision for eligible children aged from 9 month
- support for children with emerging levels of Special Educational Needs to meet the council's statutory duty in this area.

123. For 2026/27, funding for all age groups will be based on a termly census, which differs from the previous year when the number of hours for three and four-year olds were based on the January census only. The DfE has made an estimate of what the impact will be on the DSG Early Years allocation, but it strongly encouraged all Local Authorities to review their local data and budget accordingly. With the allocations being adjusted retrospectively there is always a lag effect on the funding received, with the final adjustments being notified in July 2027.

124. Funding provided through the 2025/26 Early Years National Insurance Contributions and Teachers' Pay Grant (EYNTPG) has been rolled into the national average funding rate for 3 and 4-year-olds, 2-year-olds and 9 months to 2-years-old. Local authorities and providers will not, therefore, receive a separate EYNTPG allocation in 2026 to 2027.

125. The main changes to the guidance are as follows:

- an increased minimum pass-through requirement for local authorities in 2026/27 with an increase from 96% to 97%

- a requirement for local authorities to announce their funding rates to childcare providers by 28 February 2026.

126. The table below outlines the proposed allocation of the EYB 2026/27. Schools forum agreed the maximum 3% centrally retained allocation at its January 2026 meeting. The final grant value will be determined based on pupil numbers at the Summer 2026, Autumn 2026 and Spring 2027 censuses.

Table 23: Provisional Early Years Block in 2026/27

Provisional Early Years Block 26/27	**£m**
Central spend allowance	1.72
SEN inclusion	2.93
All entitlements (3-4yr, 2yr, U2yr)	51.43
Contingency	1.11
Early Years Pupil Premium/Disability Access Funding/Maintained Nursery School Supplement	1.63
Total	**58.81**

127. In July 2025, the Government published the Best Start in Life Strategy, which sets out its vision for supporting children from pregnancy through to age 5 to improve early childhood outcomes. The strategy aims to transform early childhood experiences, and to narrow attainment gaps for the most disadvantaged children by strengthening family support and co-ordinating a multi-agency approach to providing a range of accessible services and support to children and families within their communities.

128. The council recognises the current difficult climate that many early years providers have faced, and the importance of continuing to offer stable funding rates and high levels of inclusion support, ensuring a fair and equitable offer, which meets the needs of the borough's children. The following funding rates for 2026/27 are proposed:

Table 24: Proposed funding formula for 2026/27

Rates 2026/27 Providers	**3-4-year-old (Universal & Extended) Offer**	**Working Parent 2-year-old Offer**	**Dis-advantaged 2-year-old Offer**	**Working Parent Under 2-year-old Offer**
Proposed Base Rate 2026/27	5.94	8.96	8.96	12.56
Current Base Rate 2025/26	5.52	8.50	8.50	12.27
Supplements Proposal 2026/27				
Quality	0.58			
Deprivation	0.81	0	1.40	0

High Needs Block (HNB)

129. The HNB is a single block for high needs pupils/ students aged 0-25. This block includes hospital education. This is allocated to local authorities on a national formula which is not driven by pupil numbers.

130. The council is currently faced with a projected pressure which is being partially mitigated through revised management actions, including the continued 0.5% transfer from the SB in 2026/27.

131. There continues to be a significant proportion of local authorities with accumulated DSG deficits. A recent report published by the Public Accounts Committee Support for children and young people with special educational needs states that the estimated deficit nationally is now expected to be £3.2bn in March 2025 rising to £4.6bn by March 2026.

132. The DfE have temporarily suspended the high needs national funding formula (NFF) as a means of calculating local authorities' high needs allocations and have instead based local authorities' provisional 2026/27 allocations on their 2025/26 allocations, with an increase to reflect the wrapping in of the grant funding. Following wider reforms to the SEND system, which the government will set out in early 2026, they will review the methodology for allocating high needs funding so that it supports the SEND reforms.

Central School Services Block

133. From 2018/19 all centrally retained budgets for primary and high schools were included in a separate block, and now include the former Education Services Grant for retained services in respect of all schools and academies in the borough. The Schools Forum agreed the 2026/27 allocations at its November 2025 and January 2026 meetings.

Other Funding

134. Below is a list of other grants the schools and the council receive in addition to the DSG, which include:

a) **Pupil Premium Grant (PPG)** provides funding for 2 policies**:**

- raising the attainment of disadvantaged pupils of all abilities to reach their potential
- supporting children and young people with parents in the regular armed forces.

It is allocated for all pupils who have been eligible or are eligible for free school meals during the last six years, looked-after children and service pupils. Pupil Premium rates have been confirmed for 2026/27.

b) **Universal Infant School Meals (UIFSM)**

Schools also receive funding for UIFSM for eligible children in year reception, year 1 and year 2.

DSG Account

135. From 1 April 2021, local authorities have been required to hold DSG balances (under and overspends) in a ring-fenced DSG account.

136. At the end of 2024/25 the council held a net deficit balance of £5.641m on its DSG account. At the end of Quarter 3 of 2025/26, the council is forecasting a net deficit of £17.537m for the year, as detailed in the quarterly budget monitoring report being considered by Cabinet as a separate item on this agenda. In accordance with the regulations, and to maintain the ring-fence, this cumulative net deficit is held as a negative reserve on the council's balance sheet.

137. The DSG conditions of grant require that any local authority with an overall deficit on its DSG account at the end of a financial year, or whose DSG surplus has substantially reduced during the year, must be able to present a plan to the DfE for managing their future DSG spend.

138. To support local authorities in developing a plan, the Education Skills and Funding Agency (ESFA) released a DSG Management Plan tool/template in July 2024. This identifies the drivers behind the DSG deficit and forecasts this deficit through to subsequent years, up to 2031. Strategies to mitigate deficit increases and cost pressures (which will increase the deficit) are also included.

139. Mitigation plans have been incorporated into the detailed template which has been presented to the ESFA, and was discussed with Schools Forum in April 2025.

140. The council continues to manage and will seek to recover the HNB deficit in a prudent way, despite the ESFA providing local authorities with much higher deficits with additional funds to write off their deficits.

141. In the PLGFS, the government confirmed that it will bring forward a full Schools White Paper early in 2026. This will set out substantial plans for reform of SEND provision to deliver a sustainable system which – first and foremost – supports children and families effectively, and which is also financially sustainable.

Housing Revenue Account

142. The Housing Revenue Account (HRA) 2026/27 Budget and 30 Year Business Plan are to be approved by Cabinet as a separate item on the agenda on 11 February 2026.

143. The table below summarises the 2026/27 Proposed HRA revenue budget.

Table 25: 2026/27 HRA Revenue Budget

HRA Revenue Budget	2025/26	2026/27
	£m	£m
Total Income	(91.814)	(98.911)
Total Expenditure	91.366	98.459
HRA Net (Surplus)/Deficit Before Contribution to Balances	**(0.448)**	**(0.452)**
Contribution to/(from) HRA Balances	0.448	0.452
HRA Net (Surplus)/Deficit	**0.000**	**0.000**

Capital Budget

Capital Strategy

144. The Local Government Act 2003 and supporting regulations require the council to have regard to the Chartered Institute of Public Finance and Accountancy's (CIPFA) Prudential Code, to ensure that the council's capital investment plans are affordable, prudent and sustainable. The Prudential Code requires that the council produce an annual Capital Strategy, which provides a long-term context in which capital decisions are made and the approach for governance for those decisions.

145. The council's Capital Strategy is the framework for the allocation and management of capital resources within the council, which take account of the council's key priorities in the Council Plan. It forms a part of the council's integrated revenue, capital, and balance sheet planning with a view towards deliverability, affordability, and risk.

146. Both the Treasury Management Strategy and Capital Strategy are required to comply with the Prudential Code. Whilst the Capital Strategy sets out the framework in which investments should be taken, the Treasury Management Strategy sets the council's financing requirements. The council's existing strategy has been reviewed to ensure compliance with the latest Prudential Code. Appendix 8 sets out the 2026/27 Capital Strategy which is recommended for approval by Full Council.

Capital Programme – expenditure

147. The current approved capital programme budget for 2025/26 to 2030/31 is £1,377.780m.

Additions to the Capital Programme

148. As part of the 2026/27 budget process, limited new General Fund capital proposals have been identified, taking into consideration the need to properly maintain the council's estate and other council's priorities. These additions are valued at £78.425m, of which none will be funded from borrowing. The revenue costs of borrowing have been built into future MTFS budget forecasts.

The proposals have been assessed against the requirements set out in the Treasury Management and Capital Strategy to ensure that the council can afford to support the ongoing revenue costs. The additions to the General Fund capital programme are detailed in Appendix 6.

149. Appendix 7 reflects the updated capital programme, including the revised HRA capital investments that are being considered by Cabinet in the HRA 2026/27 Budget report elsewhere on this agenda. To ensure that the capital investment is spent in line with the capital spending legislative framework (as set out in the Capital Strategy), Cabinet and Full Council are asked to approve the incorporation of the additions into the capital programme. Additions may be made to the capital programme in year in response to agreement of the business cases and funding for more significant investments following Cabinet approval.

Updated Capital Programme

150. The Capital Programme is summarised in the table below with details in Appendices 6 and 7. Cabinet and Full Council are asked to approve the Capital Programme commencing 1 April 2026. The updated programme reflects:

- HRA 5-year capital programme that is requesting Cabinet approval in the HRA 2026/27 Budget report elsewhere on this agenda
- Changes in spending profiles between years
- General Fund additions set out in Appendix 6, that are being recommended for approval.

Table 26: Capital Programme 2025/26 to 2030/31

Capital Programme Summary	**2025/26 £m**	**Capital Programme 2026/27 - 2023/31 £m**					**Total £m**
		2026/27	**2027/28**	**2028/29**	**2029/30**	**2030/31**	
Adults Services & Public Health	0.204	0.000	0.000	0.000	0.000	0.000	0.204
Children's & Schools	17.453	71.796	0.000	0.000	0.000	0.000	89.249
Economy & Sustainability	32.363	42.394	0.170	0.050	0.000	0.000	74.977
Housing & Environment	32.710	154.953	2.064	0.595	0.000	0.000	190.323
Resources	4.763	99.085	10.289	326.653	3.283	0.000	444.073
Strategy & Change	0.000	0.000	0.000	0.000	0.000	0.000	0.000
Corporate	0.000	1.496	0.000	0.000	0.000	0.000	1.496
Total General Fund	**87.494**	**369.725**	**12.523**	**327.298**	**3.283**	**0.000**	**800.323**
HRA	**184.498**	**141.841**	**81.126**	**62.176**	**57.699**	**50.117**	**577.457**
Approved Capital Programme	**271.992**	**511.566**	**93.649**	**389.474**	**60.982**	**50.117**	**1,377.780**
Additions	-	24.035	23.130	18.730	12.530	0.000	78.425
Decommissioning	-	-	-	-	-	-	-
Re-profiling	-	-	-	-	-	-	-

Capital Programme Summary	2025/26 £m	Capital Programme 2026/27 - 2023/31 £m					Total £m
		2026/27	2027/28	2028/29	2029/30	2030/31	
Revised Capital Programme Total	**271.992**	**535.601**	**116.779**	**408.204**	**73.512**	**50.117**	**1,456.205**
Mainstream Funding	149.844	321.589	57.553	348.096	35.034	33.189	945.305
Capital Receipts	19.775	71.229	18.877	24.493	9.342	0.000	113.716
Grants	66.026	109.280	21.570	17.470	11.400	0.000	225.746
S106	18.879	12.542	0.400	0.400	0.400	0.000	32.621
Partnership Contributions	0.508	0.139	0.000	0.000	0.000	0.000	0.647
Revenue Reserves	2.041	4.583	1.793	1.150	0.625	0.000	10.192
Revenue Contribution	0.284	0.560	0.605	0.305	0.105	0.000	1.859
Major Repairs Reserve	14.316	15.178	15.481	15.791	16.106	16.428	93.300
HRA Contribution	0.319	0.500	0.500	0.500	0.500	0.500	2.819
Total Programme Funding	**271.992**	**535.601**	**116.779**	**408.204**	**73.512**	**50.117**	**1,456.205**

Treasury Management

151. The Local Government Act 2003 and supporting regulations require the council to have regard to the CIPFA Prudential Code and Treasury Management Code of Practice. These require the council to set prudential and treasury indicators for a minimum of three years, to demonstrate that the council's capital investment plans are affordable, prudent and sustainable.

152. In pursuit of the above, the council must produce 3 reports:

- Treasury Strategy including prudential and treasury indicators, a requirement fulfilled by the report at Appendix 9. The report covers:
  - Capital plans including prudential indicators
  - Minimum revenue provision (MRP) policy
  - The treasury management and investment strategy.
- A mid-year report which updates members on treasury progress, the capital position, the prudential indicators and whether any strategies or policies require revision
- An annual treasury outturn report.

153. The council's existing Treasury Management Strategy has been reviewed to ensure compliance with the latest Prudential and Treasury Management Code of Practice. Appendix 9 sets out the Treasury Management Strategy and Prudential Indicators for 2026/27 which are recommended for approval.

Statutory Declarations on Robustness of Budget Estimates and Adequacy of Reserves

154. Section 25 of Local Government Act 2003 requires that the Chief Financial Officer/ Section 151 Officer, in Ealing Council's case, the Strategic Director,

Resources reports to the authority on two areas:

- The robustness of the estimates made for the purposes of the calculations, and
- The adequacy of the proposed financial reserves.

155. The Act also states that the authority must have regard to this report when council tax is set.

Robustness of estimates

156. The details in this report set out the budget proposals and the key considerations and assumptions in forming the estimates.

157. The Strategic Director, Resources has considered the significant assumptions used within the budget calculations and the levels of potential risks in relation to the delivery of a balanced budget and their mitigation.

Funding

158. The PLGFS, reflecting the outcomes of funding reform and providing indicative medium term settlement figures now provides a higher degree of certainty over future funding for local authorities in the medium term. The funding assumptions for 2026/27 are based on the provisional local government settlement and projections of revenues from business rates and council tax, using the latest collection fund monitoring information.

159. Funding reform has reset the business rates baseline for the council. Whilst the PLGFS has provided protection in 2026/27 against any shortfall in the business rates baseline through 100% safety net, that protection reduces in previous years, which means that reductions in the council's business rate base will impact on the funding available to the council, and this will need to be closely monitored during the year.

160. The ability to collect council revenues can be impacted by any downturn in the economy as some residents struggle to make ends meet and pay their bills. The council's collection rates continue to perform well in comparison to similar authorities, and these will continue to be monitored on a monthly basis throughout 2026/27 by the Strategic Director, Resources, and reported to the Strategic Leadership Team and Cabinet on a quarterly basis. As set out in the report the impact of any deterioration in the collection fund will impact on the following year's budget, and a collection fund equalisation reserve is in place to help smooth any significant income shortfalls.

Expenditure

161. The budget process has included a thorough consideration of the current expenditure pressures being experienced in 2025/26, and informed through

regular budget monitoring and reporting. Existing and underlying pressures in the current financial year have been included in growth estimates, so that the budget reflects current spending levels before mitigations and savings plans. Estimates for the impact of future pressure in the demand-led services for adults and children's social care, and homelessness, are based on projections provided by the relevant service experts and validated by the finance team. Nevertheless, spending in these demand-led services remains highly volatile and difficult to predict. The deterioration in the financial position in quarter 3, reported in a separate item on the Cabinet agenda, is due to overspending in these three areas, and demonstrates the continuing challenge these services pose to financial sustainability.

162. There are risks, as have been experienced in previous years, that the service demand and the impact of market failure on the costs of those services will outstrip the growth in the budget estimates. To reflect the deterioration in quarter 3, the budget includes additional provision to reflect this demand-led services risk and the impact on savings delivery. The council will continue to monitor high-risk, demand-led budgets and the underlying activity on a regular basis while transformation and change programmes are underway in all demand-led service areas, to contain cost pressures in the future.

163. The estimates contain provision for contractual and pay inflation and increased costs of utilities. Whilst there are risks that these costs may be higher than estimated, with the exception of pay, these are unlikely to result in a significant variation to the estimates. In relation to pay, the impact of the pay agreement will be closely monitored, and mitigations will be considered should there be a funding shortfall.

Savings

164. The budget identifies £11.9m of savings. After over a decade of real terms funding reductions and increasing demand, savings plans are harder to identify each year to enable a balanced budget. Delivery of savings plans in previous years has been variable, however the 2026/27 budget planning process has included the establishment of transformation and change programmes, owned by the departments in the demand-led services, which will monitor, track and take corrective action on the savings plans if they are not delivered as planned. This is complemented by an approach to Corporate Programmes which has identified and will deliver savings in Workforce, Contracts and Commissioning, Assets and Digital and Technology. Corporate Programmes will be monitored by a new MTFS Board, chaired by the Chief Executive. The financial impact of these, and other service savings, will be reviewed monthly and reported through quarterly financial monitoring.

165. A review of previously committed savings has been undertaken and where no longer achievable, these have been removed, and where implementation was

delayed, these have been reprofiled in the MTFS, particularly in Children's services.

166. Following the publication of a multi-year settlement, the council will, as part of its planning for 2027/28, update its MTFS. The MTFS Board will continue to focus on identification and delivery of savings across the council. In addition a Connected Communities Transformation and Innovation (CCTI) Board will support medium-term planning through a focus on transformation and change, including a specific focus on prevention to support medium and long-term financial sustainability. Through the CCTI Board, the council will consider the financial impact of moving to new models of service delivery, to reflect its commitment to enabling connected communities.

Wider economic context

167. The wider economic context and any downturn may have a significant impact, both on the council, in terms of impact on fees and charges (such as planning and building control), income collection and bad debts, inflation, the demand for services, and also on key markets all identified above.

168. The wider context also causes pressures on the delivery and costs of the capital programme. The capital programme and project budgets have been reviewed and all possible funding sources have been considered to reduce the programme's reliance on borrowing. Risks of overspends on the capital programme will have an impact on revenue budgets in the medium-term. The revenue impact of the capital programme is reviewed regularly and included in the MTFS.

169. In addition, the economic context will have an impact on interest rates and capital financing costs. Prudent estimates have been made based on external advice on interest rates. Treasury is monitored on a monthly basis by the Strategic Director, Resources, and significant decisions are taken after advice from treasury advisers.

Uncertainty and volatility

170. The above considerations all have significant levels of uncertainty and volatility.

171. The experience in 2025/26 has identified the volatility and significant increase in the homelessness budget as a significant pressure and risk to continue in 2026/27. Improvements in data, systems and processes have been delivered in 2025/26 which support a better understanding of these costs and budget. A programme of mitigations is in place and monitored regularly.

172. The budget addresses the risk of the impact of such volatility on the budget and estimates through:

- the inclusion of a General Fund contingency budget of £5m

- the inclusion of a HRA contingency budget of £2m
- the inclusion of a £3.5m contribution to General Fund reserves, to recognise the comparatively low level of reserves held, and provide mitigation against future funding uncertainty
- the inclusion of a £0.452m contribution to HRA reserves, to replenish HRA reserves balances

to manage the impact of unexpected events and pressures including non-delivery of savings plans. In the circumstances of an unforeseen and significant event which has a major effect on the borough, an application to the government's Bellwin scheme would be considered.

173. It is the opinion of the Strategic Director, Resources that significant budget risks and uncertainties to the General Fund and the Housing Revenue Account have been identified and that suitable arrangements are in place to mitigate against these risks where possible. The council's budget monitoring procedures are in place, and improvements were made in 2024/25 to monitor high risk and volatile budgets. Those arrangements will be developed further still in 2026/27 to improve and clarify budget holder accountability and responsibility, and strengthen budget management by budget holders through provision of training and better budget information.

174. The assumptions on which the budget has been proposed are challenging but manageable within the flexibility allowed by contingencies and reserve balances to mitigate risks. The overall budget position of the council can be sustained within the overall level of resources available. Proposals have been drawn up on the basis that Strategic Directors are satisfied they can continue to meet their statutory duties and the needs of the most vulnerable. However, to the degree that the budget savings are not achieved as planned, or the impact of demand cannot be maintained within approved budgets, further savings will need to be identified and implemented in order to ensure the council's future financial stability is maintained.

175. On the basis of the above, the Strategic Director, Resources is of the view that whilst there are a number of financial challenges and risks to the budget estimates, many of which are outside the council's direct control, the estimates made in this report are robust. Adequate arrangements are in place to monitor and respond to variances against the estimates during 2026/27.

Adequacy of Reserves and Balances

176. Under the 2003 Local Government Act, the Strategic Director, Resources is required to report on the adequacy of proposed financial reserves.

177. There is no statutory definition of an adequate level of reserves, which is a matter of judgement for the Chief Finance Officer. In coming to a judgement

on this matter the Strategic Director, Resources has considered:

- The robustness of estimates contained within the budget and risks to the budget strategy, as set out above.
- Current and past financial performance against budget.
- The effectiveness of financial controls and budget monitoring procedures, and the ability of the council's leadership to respond to budget variations.

178. The council's General Fund balance is the un-earmarked reserve held for unavoidable cost increases and significant unexpected events which cannot be reasonably foreseen. It acts as a financial safety net for a council to continue to deliver essential public services whilst any necessary corrective action is planned and taken. The General Fund balance should not have commitments against it, and should not be relied upon to enable the setting of a balanced budget.

179. Whilst there is no formal guidance on the level of the General Fund balance, it has been generally accepted that it should, at a minimum, represent 5% of an authority's net revenue budget. However, the volatility experienced since 2020 in relation to the pandemic and the impact of wider economic and geo-political factors, such as the Ukraine war and continuing conflict in the Middle East, in relation to demand and local authority costs, suggest that this previous benchmark may be out of date, and authorities should consider whether this benchmark continues to be adequate.

180. The council's General Fund balance of £20.471m is within the Strategic Director, Resource's target risk-assessed level of between £17.5m and £25m. There is a planned contribution in the base budget to increase unearmarked reserves. A General Fund balance of £20.471m is 6% of the total net budget for 2025/26 of £323.476m. The Strategic Director, Resources considers that a forecast balance of £20.471m at 31 March 2026 is adequate given the risks the council is facing, and considering the council's recent spending history and balanced outturn positions. This is the middle rather than the top of the range and the Strategic Director, Resources will consider, in consultation with members, at 2025/26 outturn whether there are opportunities to move this towards the top of the range given the increasingly volatile, uncertain, complex and ambiguous environment in which local authorities operate.

181. In assessing the adequacy of financial reserves, the Strategic Director, Resources needs to consider all the reserves and balances available to the council. The council holds a number of reserves to manage risks, such as the collection fund equalisation reserve and insurance reserve, and those to meet known future commitments such as PFI reserves. Earmarked reserves reduce over the medium-term as the sums built up in these are deployed, as shown in Appendix 10. These specific reserves are considered sufficient to

manage the risks and liabilities for which they are earmarked.

182. Historically, the council had allowed the reserves balances to dip to an unsustainable level, utilising the reserves to balance annual budgets year-on-year. To rectify this, the council agreed in 2021/22 a reserves strategy to include a base budget annual contribution of £3.5m to reserves to build back financial reserves to provide protection against the financial uncertainty of local government funding, substantial losses in core income and in-year demand and market pressures. This contribution is made to the Economic Volatility Reserve.

183. Similarly, over the last few years the HRA has utilised its reserves to balance its budget. The HRA Business Plan for 2025/26 started to replenish the reserves lost with a planned contribution to reserves after a £2m contingency budget, which will transfer to reserves if not used in 2025/26 and this will continue in 2026/27.

184. Whilst external benchmarking shows that the council's direction of travel on reserves has lowered the risk to the council, Ealing remains comparatively high-risk having average levels of reserves compared to other London boroughs. However a number of London Boroughs are in EFS and have had to draw significantly from their reserves to balance the budget and hold unsustainable levels of reserves. The experience of councils in EFS demonstrate the speed in which reserves can now be extinguished when councils are unable to balance their budget.

185. The current service overspend in quarter 3 for 2025/26 of £19.1m, whilst largely offset by contingency and other one-off corporate budget underspends, gives an indication of the potential need to draw on reserves and the extent to which adequate reserves are needed in addition to the General Fund balance.

186. Another local factor which is important in considering the adequacy of reserves, is the council's comparatively high level of borrowing to fund historic capital expenditure. This results in high fixed costs of external interest and prudent minimum revenue provision payments. A higher-than-average proportion of the council's expenditure is fixed, which leaves less flexibility to deliver short to medium-term savings in response to any deterioration in the financial position, and therefore reserves are needed to provide a cushion, and time to consider and implement more difficult savings options and strategies.

187. The council has forecasted the transfer of funds to and from earmarked reserves over the medium-term in Appendix 10, and this is summarised below.

Table 27: Forecast of Reserves over the MTFS Period 2025/26 to 2029/30

	31/03/2025	31/03/2026	31/03/2027	31/03/2028	30/03/2029	30/03/2030
	£m	£m	£m	£m	£m	£m
Risk Reserves	17.344	16.052	16.052	16.052	16.052	16.052
Ringfenced reserves	5.900	3.871	3.871	3.871	3.871	3.871
Committed reserves	48.815	46.147	43.946	42.135	42.734	42.133
Discretionary reserves	34.870	37.816	41.316	44.816	48.316	48.316
Total Earmarked reserves	**106.928**	**103.886**	**105.185**	**106.874**	**110.973**	**110.372**
General Fund Balance	20.471	20.471	20.471	20.471	20.471	20.471
General Fund Reserves & Balances	**127.399**	**124.357**	**125.656**	**127.345**	**131.444**	**130.844**
Housing Revenue Account	13.935	14.383	14.383	14.383	14.383	14.383
Schools Balances	15.026	15.026	15.026	15.026	15.026	15.026
Total Reserves & Balances	**156.360**	**153.766**	**155.066**	**156.754**	**160.854**	**160.253**

188. The forecast of the reserve movements reflects funds set aside for capital schemes, agreed invest to save proposals, earmarked grants and technical and statutory adjustments relating to the Collection Fund and insurance. The use of reserves is regularly reviewed throughout the year and at outturn, and may result in further drawdowns or additional contributions.

189. If an unplanned opportunity or challenge arises during any financial year that requires funding or investment outside of existing budgeted or planned drawdown of reserves, then reserves such as the Economic Volatility or Invest to Save reserves are accessed. This is not reflected in the forecast above.

190. On the basis of the above analysis, it is the view of the Strategic Director, Resources that the level of reserves is adequate, although they remain a risk in comparison to other London boroughs not experiencing financial difficulties. Given the increasingly volatile environment, this will need to be kept under review and it is essential that the council's spending is contained within budget to avoid unplanned drawing down of reserves, and officers and members must ensure that financial discipline is maintained.

Financial Management (FM) Code

191. The FM Code identifies risks to financial sustainability and introduces a framework of assurance. This framework is built on existing successful practices and sets explicit standards of financial management. It is for an individual council to determine whether it meets the standards, and to make any changes that may be required to ensure compliance. Compliance with the FM Code is seen as a collective responsibility of the organisational

leadership.

192. It should be noted that although there is no legal requirement for the council to comply with the FM Code, compliance may be assessed by the council's external auditors as part of the Value for Money audit.

193. An update of progress and compliance against the FM Code is provided regularly to the Audit Committee. The Strategic Director, Resources is satisfied that the council complies with the arrangements. Improvements in financial management arrangements have been made over the last few years and further improvements are planned in 2026/27, as sound financial management is increasingly important as the council seeks to deal with continued and complex financial pressures.

Value for Money

194. The budget setting process addresses the council's statutory duties, performance in delivering national and local priorities, and focuses on the needs of its communities. The budget process requires services to demonstrate this through their budget proposal submissions.

195. The budget proposals include examples of delivering value for money such as:

- general efficiencies and transformation within services and departments
- review of charges and maximising income opportunities in line with legal restrictions upon the council's ability to charge for its services.

196. Savings proposals have been made that impact minimally and/ or improve service delivery and service standards, despite the challenges presented by the budget pressures.

197. The budget proposals have been informed by benchmarking and value for money exercises. The council monitors performance and finance in tandem, to ensure that value for money services are commissioned and provided, as well as regularly adjusting its activities to improve performance and achieve better value for money.

Reason for Decision and Options Considered

198. The purpose of this report on the 2026/27 Budget and Medium-Term Financial Strategy (MTFS) is to enable Cabinet to consider the budget proposals and make recommendations to Full Council when it finalises the budget and sets council tax on 3 March 2026.

199. The option not to consider the budget and council tax proposals was not considered as the council is legally required to set a balanced budget and council tax each financial year.

200. The council has continued to provide budget growth in services that experience significant and continued demand and market pressures, with prioritisation being given to the most vulnerable groups. Due to the complexity of the service provision and notwithstanding the increase in cash-

terms in funding in the Provisional Local Government Finance Settlement, these services continue to operate in a challenging resource environment where even small demand changes can lead to material budget variances.

201. The savings proposals in this report align with the strategic vision, Council Plan and the MTFS on the allocation of resources. Some of the savings proposals may have further implications which will only emerge following detailed planning and consultation. Where this is the case, those implications will be considered before a final decision is taken on implementation, including whether a proposal should be amended. Where detailed proposals result in a lower financial saving, it is the responsibility of the relevant Strategic Director to find alternative replacement savings.

Financial impact

202. The financial impacts are described throughout the report.

Legal Implications

203. Section 25 of the Local Government Act 2003 requires the Chief Financial Officer/ Section 151 Officer (in Ealing Council's case, the Strategic Director, Resources) to report on the robustness of the estimates made for the purposes of budget calculations and the adequacy of the proposed financial reserves. The Council must take these matters into account when making decisions about the budget calculations. Particularly note paragraph 176 where assurances have been given that the budget estimates are robust.

204. The Council is obliged to set the council tax and a balanced budget for the forthcoming financial year in accordance with the provisions set out in this report. Section 30(6) of the Local Government Finance Act 1992 provides that the Council has to set its budget before 11 March in the financial year preceding the one in respect of which the budget is set. This means that the Council has a duty to set the 2026/27 budget before 11 March 2026.

205. In addition to the statutory provisions the Council must also comply with general public law requirements and, in particular, it must take into account all relevant matters, ignore irrelevant matters and act reasonably and for the public good when setting the council tax and budget.

206. The Council should be satisfied that the proposals put forward are a reasonably prudent use of resources in both the short and long term and that the interests of council taxpayers and ratepayers on the one hand, and the users of council services on the other are both taken into account. The recommendations contained in the report have been prepared in line with these requirements.

207. Section 106 of the Local Government Finance Act 1992, applies to Members where:

- they are present at a meeting of the Council, the Cabinet or a Committee and at the time of the meeting an amount of council tax is payable by them and has remained unpaid for at least two months; and

- any budget or council tax calculation, or recommendation or decision which might affect the making of any such calculation, is the subject of consideration at the meeting.

205. If the above criteria applies, any such Members shall at the meeting and as soon as practicable after its commencement disclose the fact that Section 106 applies to them and shall not vote on any question concerning the matter. Such Members are not debarred from speaking. Failure to comply with these requirements constitutes a criminal offence, unless any such members can prove they did not know that Section 106 applied to them at the time of the meeting or that the matter in question was the subject of consideration at the meeting.

Rhian Davies, Interim Director of Legal and Democratic Services, dated 2 February 2026

Equality implications

206. Budget proposals have been developed and impacts considered in line with the principles set out under S149 Equality Act 2010 and Human Rights Act 1988, including the need to protect elderly, disabled, children and young people who are the most vulnerable residents of the borough.

207. Implementation of each of the proposals will follow the council's processes, policies, and local terms and conditions to ensure fair selection, assimilation, and recruitment and to ensure on-going monitoring of diversity.

208. Where proposals will have equalities implications, an Equalities Analysis Assessment (EAA) is required. EAAs are tools that help the council make sure its policies, and the ways it carries out its functions, do what they are intended to do and for everybody. If an EAA is required, it will be prepared and considered prior to the final decision on whether to proceed with the proposal being taken.

209. A full Equalities Analysis Assessment has been carried out in relation to the equalities impacts of the council tax increase recommendations at Appendix 11.

210. When making decisions the council must act reasonably and rationally. It must consider all relevant information and disregard all irrelevant information and consult those affected, considering their views before final decisions are made. It must also comply with its legal duties, including those relating to equalities. Many proposals will impact upon third parties, and where this is the case there may be a requirement for the council to consult those affected before a final decision is taken on whether to implement the proposal, or to amend the proposal prior to implementation.

Procurement implications

211. There are no direct procurement implications in this report. However, in setting the council's budget for 2026/27, this will provide the overall and total limits on what the council can spend. The delivery of value for money

services and to make savings will, in several areas, depend upon the success of a procurement strategy.

Risk Management

212. It is important that spending is contained within budget so that the council can maintain its financial standing in the face of further pressure on resources in 2026/27 and beyond, as set out in the annual review of the MTFS in this report.

213. The current Local Government Finance Settlement only provides certainty for 2026/27. The government published the first multi-year Local Government Finance Settlement in a decade which provides a greater level of certainty over future years' funding. However, the final settlement is still determined annually and figures for future years are indicative until each year's settlement is confirmed. The MTFS therefore includes various assumptions on future funding which is based on government announcements made to date.

214. The MTFS model will continue to be updated as greater clarity is provided by the government on their medium-term funding plans.

215. Given the uncertainties of the economic environment, impact of rising demand and market pressures, and the anticipated scale of the expenditure reductions required, there are inevitably significant risks involved in delivering balanced budgets over the medium-term. Key strategic risks are:

- included in the Strategic Risk Register
- regularly reported to Audit Committee
- reviewed through updated finance reports to Strategic Leadership Team and Cabinet.

216. Since 2013/14, the balancing of the budget in-year depends upon the council achieving its council tax and business rates projections, which are closely monitored by officers on a monthly basis and reported to the Strategic Leadership Team and Cabinet on a quarterly basis.

217. As explained in the report, the most immediate risks to the budget process are:

- unfunded income loss pressures as a result of the economic environment and the cost-of-living crisis, particularly in relation to council tax and business rates income – the council will continue to closely monitor the impact of these income streams
- non-delivery of the approved savings plans
- social care and homelessness placement pressures (demand and market), which have been partly mitigated by corporate budgets.

218. The council is faced with an uncertain financial climate over the medium to long-term which presents a high risk, and there remains potential for further, as yet unrecognised, risks. For this reason, a prudent approach to the level of reserves held by the council remains sensible and necessary. The Strategic

Director, Resources, as the council's Chief Finance Officer, is required to state whether the reserves are adequate as part of the annual budget setting process.

219. The council's MTFS is continually under review and builds in projections for the MTFS period and beyond as further details and analysis become available. These updates are regularly reviewed by the Strategic Leadership Team and the portfolio holder, and updates on the financial environment the council is operating in are provided in finance reports to Cabinet.

Local Economy and social value implications

220. There are no social value implications in this report. However, in setting the council's budget for 2026/27, this will provide the overall and total limits on what the council can spend. The delivery of social value from our contracts will be considered in every procurement strategy.

221. The budget continues to invest in discretionary services in relation to Economic Growth and capital investments which support regeneration and the local economy.

Climate and sustainability implications

222. Any sustainability impacts will be considered before final decisions are taken on whether to implement each proposal. All capital budget proposals are required to set out how the proposal contributes towards carbon emission reductions. Savings plans and capital investments included in the budget further our climate objectives.

Property and assets implications

223. The capital investment proposals set out in this report for approval in principle reflect the need to make efficient use of the council's property and assets at an affordable cost, to support the delivery of council priorities.

Staffing and workforce implications

224. Not applicable and will be considered as detailed proposals are developed.

Consultation

225. Consultation may be required in relation to some savings proposals. Where this is the case, the consultation will be undertaken in accordance with legal requirements and within a timetable appropriate to the individual circumstances of the proposal in question, including with recognised trade unions and affected individuals. The outcomes from each consultation undertaken will be considered before a final decision is taken on whether to proceed with the proposal in question, either as presently proposed or in an amended form.

226. The council's budget framework sets out the need for the Overview and Scrutiny Committee to be consulted in the budget process. Furthermore, the council is required to undertake statutory budget consultation with Business Rates payers in the borough.

227. On 4 February 2026, a meeting with the Ealing Business Partnership will consult with local business rate payers, following which any feedback will be either circulated to Cabinet as an addendum to the report, or a verbal update provided at the Cabinet meeting by the Portfolio Holder.

228. A meeting with the Overview and Scrutiny Committee (OSC) will be held a day before Cabinet on 10 February 2026. Feedback from this meeting will be submitted either in writing by the OSC Chair and/or Vice-Chair or provided verbally.

Timetable for Implementation

229. The budget timetable is set out below.

Table 28: Timetable of Pending Key Budget Activities

Date	Key Activities
4 February 2026	Consultation with Ealing Business Partnership
10 February 2026	Budget proposals Overview & Scrutiny Committee
11 February 2026	Cabinet considers final budget proposals and makes recommendations to Full Council
3 March 2026	Council approves Budget & Council Tax for 2026/27

Appendices

Appendix	Appendix Title
1	Summary Revenue Budget 2026/27 to 2029/30
2	Savings and Pressures 2026/27 to 2029/30
3	2026/27 Fees and Charges Schedule
4	Council Tax Reduction Scheme
5	2026/27 Parking Account
6	New Capital Schemes
7	Summary of Capital Programme 2025/26 to 2030/31
8	2026/27 Capital Strategy
9	2026/27 Treasury Management Strategy Statement, MRP Statement and Annual Investment Statement
10	Reserves Forecast and Analysis over the MTFS Period
11	Equality Analysis Assessment – Council Tax Increase

Background Papers Used in Preparing This Report

Report Name	Date
Council Reports	
Treasury Management Q2 Update 2025/26	16 December 2025
Cabinet Reports	
Housing Revenue Account (HRA) Business Plan 2026/27	11 February 2026
Schools Forum Report	22 January 2026
Officer Decision Reports	
2026/27 Council Tax Base	27January 2026